BEFORE THE ADJUDICATING AUTHORITY
(NATIONAL COMPANY LAW TRIBUNAL)
AHMEDABAD BENCH
AHMEDABAD

C.P. (I.B) No. 37/10/NCLT/AHM/2017

Coram: **Hon'ble Mr. HARIHAR PRAKASH CHATURVEDI, MEMBER JUDICIAL**
Hon'ble Ms. MANORAMA KUMARI, MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF AHMEDABAD BENCH OF THE NATIONAL COMPANY LAW TRIBUNAL ON 15.02.2019

Name of the Company: PSL Ltd.
V/s.
Edelweiss Assets Reconstruction Co. Ltd. & Ors.

Section of the Companies Act: Section 10 of the Insolvency and Bankruptcy Code

S.NO.	NAME (CAPITAL LETTERS)	DESIGNATION	REPRESENTATION	SIGNATURE
1.	Mr. Navin Pahwa with	Sr. Adv	Petitioners	
2.	Ms. Himani Chhabra for Thakkar & Pahwa	Adv.		
1.	BAIJU BHAGIAT	Adv.	Fin. Creditor	
	with MEGHA JAIN	Adv.	"	

ORDER

The parties are represented through their respective learned counsels.

The Order is pronounced in the open court, vide separate sheet.

MANORAMA KUMARI
MEMBER JUDICIAL

HARIHAR PRAKASH CHATURVEDI
MEMBER JUDICIAL

Dated this the 15th day of February, 2019

BEFORE ADJUDICATING AUTHORITY
NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
AHMEDABAD

CP (IB) No.37/10/NCLT/AHM/2017

In the matter of:

M/s. PSL Limited
(CIN: L67120DD1987PLC002395),
Having its registered office at
Kachigam, P.B. No.25,
Daman-396 210,
(UT) of Daman & Diu
(Through Mr. Anuj Punj,
Managing Director of
M/s. PSL Limited) : Corporate Applicant / Debtor

Order delivered on 15th February, 2019.

Coram: Hon'ble Mr. Harihar Prakash Chaturvedi, Member (J)

And

Hon'ble Ms. Manorama Kumari, Member (J)

Appearance:
Mr. Navin Pahwa, Sr. Advocate with Ms. Ritu Shah, Advocate for the Corporate Applicant / Debtor,

Mr. Baiju Bhagat, Advocate for Edelweiss Asset Reconstruction Company Limited,

Ms. Kshama Sheth and Mr. Sunil Bhavsar, Advocates for Indian Bank.

Mr. Chintan Desai, Advocate, on behalf of Mr. Bomi Sethna, Advocate for Aditya Birla Finance Ltd.

ORDER

[Per: Mr. Harihar Prakash Chaturvedi, Member (J)]

1. The present Application is filed on behalf of the Corporate Applicant/ Corporate Debtor under Section 10 of the

Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as "the Code") read with Rule 7 of the Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016. The definition of Corporate Applicant includes Corporate Debtor as per Section 5(5) of the Code. Therefore, the Corporate Applicant/Corporate Debtor seeks relief to initiate Corporate Insolvency Resolution Process (hereinafter referred to as "CIRP") in respect of itself, i.e., M/s. PSL Limited (hereinafter referred to as "Corporate Debtor company").

2. The registered office of the Corporate Applicant/Corporate Debtor company is situated at Kachigam, P. B. No.25, Daman-396 210 (UT) of Daman & Diu.

3. The Corporate Applicant company was incorporated on 28.08.2017 as 'PSL Holdings Private Ltd'. with Registration No.28990 of 1987-88 with the Registrar of Companies, Union Territory of Delhi & Haryana India. The name of the company got changed to "PSL Holdings Ltd", as the company was converted into a Public Limited entity vide certificate dated 01.07.1994. The PSL International Limited was merged with M/s. PSL Holding Limited and the same was registered vide certificate dated 21.12.1999. The name of the company got changed to 'PSL Ltd., vide Certificate dated 13.02.2003. Copies of certificates of Incorporation dated

24.08.1987, 1.7.1994, 21.12.1999 & 13.02.2003 are enclosed as Annexure-3 to the petition.

4. It is stated that the Board of Directors of the Applicant Company passed a Resolution on 9th May, 2017, proposing for initiation of Corporate Insolvency Resolution Process in respect of the company by way of filing necessary application, under Section 10 of the Code, before the National Company Law Tribunal. They further authorized Mr. Ashok Punj, Managing Director, for filing the present application.

5. As per the present application, the Nominal Share Capital and the Paid-Up Share Capital of the Corporate Applicant / Debtor company are described as under;

Particulars	**Amount (Rs. in Crores)**
Nominal Share Capital Equity Share Capital (180,000,000 shares of Rs.10/- each)	**180.00**
Paid Up Share Capital Equity Share Capital (124934484 shares of Rs.10/- each)	**124.93**

6. It is averred that the Corporate Applicant/Corporate Debtor has obtained financial assistance from following Financial Institutions;

1) Edelweiss Asset Reconstruction Company Limited (Assignment of Debt of Yes Bank, ICICI Bank, State Bank of India and Axis Bank
2) IDBI Bank
3) Indian Overseas Bank
4) Oriental Bank of Commerce
5) ING Vysya Bank
6) Indian Bank
7) Union Bank of India
8) The Federal Bank Limited
9) Exim Bank
10) Canara Bank
11) Bank of Baroda
12) Syndicate Bank
13) Canara Bank – London (ECB)
14) Bank of India –Hong Kong (ECB)
15) Punjab National Bank – London (ECB)
16) Bank of Baroda – Hong Kong (ECB)
17) Standard Chartered Bank
18) Kotak Mahindra Bank
19) Acre-30- Trust (Assignment of DBS Bank Account)
20) Aditya Birla Finance Company Limited
21) Bank of Bahrain and Kuwait
22) Abu Dhabi Commercial Bank
23) TATA Capital Financial Services Ltd.

7. The Corporate Applicant/Debtor further disclosed that a sum of **Rs.3862.74 Lakhs** as on 31.03.2017 was due to Financial Creditors, which is defaulted, because the company is unable to pay its Debts.

8. It is submitted that since the Corporate Applicant committed default in making payment of its financial debts to the aforesaid Financial Creditors, the above stated Banks / Financial Institutions issued various Recall Notices / Demand Letters to the Corporate Applicant insisting for repayment of dues.

9. It is also reported that the following Financial Creditors have also initiated proceedings by way of issuing notices under Sections 13(2) and 13(4) of the Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002 (hereinafter referred to as "SARFAESI Act");

1. Edelweiss Asset Reconstruction Company Limited (Assignment of Debt of Yes Bank, ICICI Bank, State Bank of India and Axis Bank

2. Kotak Mahindra Bank

10. In view of the above given facts and circumstances of the case, as the Corporate Applicant is unable to pay off its debts, it has prayed for initiation of CIRP in respect of itself.

11. In the present application, the Corporate Applicant has proposed name of Mr.Nilesh Sharma, as an Interim Resolution Professional, being Director of IRR Insolvency Professionals Pvt. Ltd. It has further annexed a copy of the written communication received from the proposed Interim

Resolution Professional in Form-2, showing his willingness to accept such assignment to act as IRP.

12. In response to the present application, one of the respondent Financial Institutions, i.e. M/s. Edelweiss Asset Reconstruction Co., Ltd, has filed its Affidavit in reply, contending as follows:-

1) It is stated that the secured creditor is not objecting to the admission of the present application preferred by the Corporate Applicant/Debtor, but it is only filing its objection to the extent of appointment of the Interim Resolution Professional as nominated by the Applicant Company.

2) It is further contended that the Respondent is a Company within the meaning of the Companies Act, 2013 with CIN No. L67120DD1987PLC002395 and registered as an Asset Reconstruction Company under Section 3 of the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act). The Respondent is one of the major financial creditors of the Corporate Applicant/Debtor. It is further submitted that YES Bank, State Bank of India, ICICI Bank and Axis Bank have assigned their debts by way of Deeds of Assignment dated 10.09.2013, 27.06.2014, 29.06.2016 and 30.03.2017, respectively security interest, rights and title with respect to the Corporate Debtor to the Respondent. Therefore, in view of the above assignments, the present Respondent has now stepped into the shoes of the Assignor Banks.

3) It is informed that the Hon'ble Bombay High Court, by its order dated 19.07.2017, in the matter of Jotun Vs. PSL (being Company Petition No.434 of 2015) had stayed the proceedings of this Tribunal, but subsequently, such stay came to be vacated by the Hon'ble Bombay High Court, by its another order dated 05.01.2018, wherein Their Lordships have been categorically held that there is no such bar on the NCLT, Ahmedabad, for proceeding further with the present Insolvency Petition. Accordingly, such stay, dated 19.07.2017, stood vacated for the reasons contained in the said order.

4) Subsequent thereto, the present Respondent preferred a miscellaneous application before this Tribunal in the present matter seeking replacement of the Interim Resolution Professional (IRP). Such application was disposed of by this Tribunal, by its order dated 09.01.2018, giving a liberty to the present Respondent to file its formal objection in the main Insolvency Petition. Thereafter, the present Respondent filed its objection on limited ground of substituting the IRP as proposed by the Corporate Application/Debtor for the reasons stated in its objection, which may be summarized as under.

(i) It is contended that considerable time is passed since filing of the Insolvency Petition, i.e. CP (IB) No.37/2017 filed on 27th May 2017.

(ii) It is reported that on 12th September, 2017, a Joint Lenders meeting of the creditors was convened wherein it was unanimously decided that the present Respondent would propose a new

Insolvency Resolution Professional in place of Mr. Nilesh Sharma, as proposed by the Corporate Applicant/Debtor. The present Respondent has annexed a copy of such minutes of meeting of the Creditors as Annexure-1. Thus, the Respondent as well as the joint lenders have proposed the name of Mr.Dushyant C.Dave, as being Interim (Insolvency) Resolution Professional. The necessary documents of the IRP, agreeing to act as an IRP, have been annexed marked as Annexure-2 of the objection.

(iii) It is further contended that if the IRP proposed by the Creditors is not considered by this Adjudicating Authority, the Creditors who form the major constituents of the Committee of Creditors would have to wait for 30 days until the first meeting of the CoC is convened. Thereafter, any new RP can be recommended by the CoC to be appointed by this Adjudicating Authority. This will curtail the period of Corporate Insolvency Resolution, which will surely be detrimental to the revival and reorganization of the Corporate Debtor Company.

5. For the aforesaid reasons, the present Respondent and the joint secured lenders have expressed their view that appointment of the IRP should be considered as per the proposal made by the Respondents.

13. In support of the present IB petition, the Corporate Applicant/ Debtor has further filed its written submissions.

The relevant contentions/extract thereof are being reproduced herein below;

1. The Corporate Applicant/Debtor, PSL Limited is engaged in the business of manufacturing of HSAW pipes. The Corporate Debtor availed financial assistance from as many as 23 Banks. The sanction letter and renewal letters issued by each of the Financial Creditors/Banks are annexed as Annexure-8 (Colly).

2. The Corporate Applicant/Debtor could not repay the debts due and payable to the Banks and Financial Institutions as on 31.03.2017, which amount to Rs.3862.74 Lakh. The detailed statement regarding the amounts due and payable by the Corporate Applicant Company to the Banks and the brief note on default have also been annexed to the written submissions.

3. It also stated that during the pendency of the present IB Petition, M/s. Jotun India Private Limited, being Intervener, preferred a Company Application (L) No.333/2017 in Company Petition No. 434/2015 before the Hon'ble High Court of Bombay and the Hon'ble Mumbai High Court, vide order dated 19.07.2017, was pleased to direct this Tribunal, not to proceed further with the present petition.

4. On 20.07.2017, the Intervener filed Intervening Application, inter alia, praying to dismiss the present petition i.e. CP (IB) No.37/2017 by producing the order dated 19.07.2017 passed by the Hon'ble High Court of Bombay in Company Application (L) No.333/2017 in Company Petition No.434/2015. This Tribunal after

considering the order passed by the Hon'ble Bombay High Court, decided not to proceed further with CP (IB) No.37/2017.

5. Meanwhile, the Corporate Debtor filed Company Application No.572/2017 in CP No.434/2015 before the Hon'ble Bombay High Court seeking vacation of the order dated 19.07.2017 staying the proceedings of CP (IB) 37/2017, wherein the Hon'ble Bombay High Court vide its order dated 05.01.2018 has been pleased to vacate its stay order dated 19.07.2017.

6. Accordingly, the above stated facts were brought to the notice of this Tribunal. Therefore, this Tribunal proceeded further with the present matter and listed the matter on 19.01.2018 for hearing on Intervening Application filed by one of the operational creditors before admission of the main petition.

7. CP (IB) 144/2017 filed by Ador Welding Limited against PSL also came to be listed on 09.01.2018. This petition was posted for hearing on 19.01.2018. IA No. 7 of 2018 filed by Edelweiss Asset Reconstruction Co. Ltd., one of the Financial Creditors, under Section 65 of the IB Code seeking not to appoint IRP proposed by the Corporate Applicant and appoint IRP named by the Financial Creditor, was also listed on the same day. This Tribunal while disposing the said application, observed that as the CIRP was not then commenced, the application was not maintainable at the instance of Financial Creditor, at that stage. Therefore, this Tribunal gave liberty to the Financial Creditor to raise its plea, if any, in CP (IB) 37/2017 along with main objection.

8. On 19.01.2018 and 22.01.2018, the Intervention Application of the Operational Creditor along with the present petition was heard and this Tribunal by its order dated 22.01.2018 reserved the matters for orders. It further observed that in view of the purshis, CP (IB) No.144 of 2017 filed by Ador Welding Limited stood disposed of as withdrawn.

9. The intervener filed Company Application No.68 of 2018 before the Division Bench of Hon'ble Bombay High Court challenging the order dated 05.01.2018 vacating the stay order dated 19.07.2017 passed in Company Application No.572/2017 in CP No.434/2015. The Division Bench of Hon'ble Bombay High Court, vide order dated 13.02.2018, stayed the order dated 5.1.2018. Thereafter, the matter was being adjourned time to time before this Tribunal.

10. On 01.08.2018, it was brought to notice of this Tribunal, by the parties, that the Division Bench of Hon'ble Bombay High Court, vide order dated 26.07.2018, dismissed Appeal No.68 of 2018 in CP No.434 of 2015 filed by the intervener. While dismissing the appeal filed by the Intervener, the Hon'ble Bombay High Court pleased to observe as such;

> ***"In view of the afore-stated reasoning and the case laws cited, we are of the considered opinion that the Company Court while dealing with the winding up petition (saved petitions) shall have no jurisdiction to stay the proceedings before the NCLT in respect of revival or resolution issue. We may further state that in case the forum under the IBC, 2016 i.e. NCLT fails to revive or successfully implement the resolution plan, then the Company Judge seized with the winding up petitions (saved petitions) would deal with the petition in accordance with law. We are of the view that allowing both the forums i.e. Company Court and the NCLT to go ahead with the liquidation proceedings/winding up proceedings simultaneously would not serve any purpose. There is***

likelihood of creation of confusion and complexity. To harmonize this likely situation, we observe that the Company Judge, in saved petitions, would exercise jurisdiction in case revival efforts by NCLT fails".

11. By considering the above stated facts and circumstances of the case and in view of the order dated 26.07.2018 passed by the Hon'ble Bombay High Court and the observations contained therein, there is no impediment for consideration of admission of the present IB Petition under Section 10 of the Code. Moreover, the Intervening Petition has already been dismissed as being infructuous.

14. We have gone through the contents of the above stated pleadings of the applicant as well as respondents, viz. M/s. Edelweiss Asset Reconstruction Company Limited.

15. It is a matter of record that the Corporate Applicant has disclosed all requisite information in prescribed format of the present IB Petition and also proposed name of Mr. Nilesh Sharma, Interim Resolution Professional, as per requirement of the Code.

16. We further examined provision of relevant Section 10 of the Insolvency and Bankruptcy Code, 2016, which reads as under;

Section 10: Initiation of corporate insolvency resolution process by corporate applicant:

(1) Where a corporate debtor has committed a default, a corporate applicant thereof may file an application for initiating corporate insolvency resolution process with the Adjudicating Authority.

(2) The application under sub-section (1) shall be filed in such form, containing such particulars and in such manner and accompanied with such fee as may be prescribed.

(3) The corporate applicant shall, along with the application, furnish the information relating to __

(a) its books of account and such other documents for such period as may be specified; and

(b) ***the resolution professional proposed to be appointed as an interim resolution professional;*** *and*

of the corporate debtor, as the case may be, approving filing of the application.

(4) The Adjudicating Authority shall, within a period of fourteen days of the receipt of the application, by an order—

(a) admit the application, if it is complete

(b) reject the application, if it is incomplete

Provided *that Adjudicating Authority shall, before rejecting an application, give a notice to the applicant to rectify the defects in his application within seven days from the date of receipt of such notice from the Adjudicating Authority.*

5 The corporate insolvency resolution process shall commence from the date of admission of the application under sub-section (4) of this section.

17. On going through the above stated statutory provision and perusal of the present application, it is clear that the present application is filed in conformity with the prescribed procedure and Rule by providing requisite information along with relevant documents. That apart, the present application is found to have been filed pursuant to a Board Resolution passed by the Corporate Applicant/ Debtor company seeking CIRP for itself and has duly authorized to one Mr.Ashok Punj for filing the present application. It is also a matter of record that the Respondents Financial Creditors did not oppose the admission of the present application, except seeking substitution of the proposed IRP with their own.

18. We duly considered the above stated factual aspects and legal position of the present case. It may be seen that under the provisions of Section 10(3)(b) of the Code it is mandatory on the part of the applicant to propose the name of the IRP in the main application, failing which such application may be found as incomplete.

19. Therefore, we are of the view that it is mandatory on the part of the Corporate Applicant to propose the name of a willing IRP in the application itself in the prescribed format, to be appointed by this Adjudicating Authority, failing which such application may not be found complete. Therefore, the Corporate Applicant has rightly proposed the name of Mr.Nilesh Sharma as IRP under the provisions of the Code. Hence, at this stage, we do not feel appropriate to replace such IRP, because after constitution of the CoC within 30 days from the date of declaration of Moratorium, it will always open to the CoC either to keep continue with the present IRP or to replace him with another IRP/RP by passing necessary Resolution. Therefore, we leave this issue to be considered by the CoC. Since this being provisional and time gap arrangement, there can be no serious prejudice to the Financial Creditors. Because, it is always open to them after formation of CoC to change the IRP by substituting with another RP. If they feel appropriate, they may pass necessary resolution.

20. We further placed reliance on a decision of ***Hon'ble NCLAT in Unigreen Global (P) Ltd. vs. Punjab National Bank***,

wherein Their Lordships have been pleased to observe as under;

> ***Section 10 does not empower the Adjudicating Authority to go beyond the records as prescribed under Section 10 and the information as required to be submitted in Form 6 of the Insolvency and Bankruptcy (Application to the Adjudicating Authority) Rules, 2016 subject to ineligibility prescribed under Section 11. If all information are provided by an applicant as required under Section 10 and Form 6 and if the Corporate Applicant is otherwise not ineligible under Section 11, the Adjudicating Authority is bound to admit the application and cannot reject the application on any other ground. Any fact unrelated or beyond the requirement under I & B Code or Forms prescribed under Adjudicating Authority Rules (Form 6 in the present case) are not required to be stated or pleaded.***

21. Hence, by following the above stated Judicial precedents, we are of the view that the present IB petition deserves admission under the Code. Therefore, the present IB Petition is hereby admitted under Section 10 of the Insolvency & Bankruptcy Code and the Moratorium is declared in respect of the Corporate Applicant / Debtor Company with following consequential orders/directions;

i) That the order of Moratorium under Section 14 of the Code shall have effect from 15.02.2019 till the completion of Corporate Insolvency Resolution Process or until this Bench approves the Resolution Plan under Sub-section (1) of Section 31 or passes an order for Liquidation of Corporate Debtor under Section 33 as, the case may be.

ii) That this Adjudicating Authority hereby appoint **Mr. Nilesh Sharma**, having IP Registration No. IBBI/IPA-002/IP-00006/2016-17/4 and residing at D-55, Defence Colony, New Delhi-110 024 appointed as **"Interim Insolvency Resolution Professional"** to carry the functions as mentioned under Insolvency and Bankruptcy Code, 2016.

iii) The IRP so appointed shall make public announcement of Corporate Insolvency Resolution Process be made immediately as specified under Section 13 of the Code and by calling for submissions of claim under Section 15 of the Code.

iv) That the Bench hereby prohibits the institution of suits or continuation of pending suit or proceedings against the corporate debtor including execution of any judgment, decree or order in any court of law, tribunal, arbitration panel or other authority; transferring, encumbering, alienating or disposing of by the corporate debtor any of its assets or any legal right or beneficial interest therein; any action to foreclose, recover or enforce any security interest created by the Corporate Debtor in respect of its property including any action under the SARFAESI Act, 2002; the recovery of any property by an owner or lessor where such property is occupied by or in the possession of the corporate debtor.

v) That the supply of essential goods or services to corporate debtor, if continuing, shall not be terminated or suspended or interrupted during the Moratorium period.

vi) That the provisions of Section 14 sub-section (1) shall not apply to such transactions as may be notified by the Central Government in consultation with any financial sector regulator.

vii) The Corporate Applicant/Debtor is directed to communicate a copy of this order to the Interim Resolution Professional, the Respondents and the Registrar of Companies, Gujarat.

22. Registry is directed to communicate a copy of this order to the Corporate Applicant/Debtor at its registered address as well as the Interim Resolution Professional and the concerned Registrar of Companies, after the completion of necessary formalities.

23. No order as to costs.

24. In view of the above, the CP (IB) No.37/10/NCLT/AHM/2017 is admitted.

Manorama Kumari
Adjudicating Authority
Member (Judicial)

Harihar Prakash Chaturvedi
Adjudicating Authority
Member (Judicial)

SR